

Thus, the fact of large harvests in the year 1891 in the United States, coupled with the fact of poor harvests in Europe in the same year, led to the conclusion that our grain would be in demand for foreign shipment, and that the earnings of our railroads would be increased. The conclusions were sound and the earnings were increased, and judicious students of the market bought stocks for a rise. Then the fact that stocks rose and kept on rising, coupled with the fact that the general public were buyers, and with the additional fact that the public prefer to be buyers and to buy at high prices, and not to buy at all unless prices are high, led these same judicious students to sell the same stocks during the prevalence of high prices, — both the stocks which they owned and large amounts which they did not own. Again, the study of facts led to wise conclusions, and these ended in successful results. Both as bulls and as bears the wise students have fared well. The careless and superficial public, coming in too late as bulls, found themselves at last compelled to become unwilling sellers at greater or less losses, in some cases so severe as to shatter households and drive citizens to ruin.

Thus the person who studies real values must not be content with that alone. He must also study the facts that in times of stress and storm make real values fluctuate as wildly in manner, if not in amount, as those of the most fanciful securities, and he must learn that no operation on margin is really safe unless the margin is large beyond the ordinary run, and is backed by equally large reserves. Some financial teachers lay it down that your risks should not exceed 25 per cent. of your capital. This is excessive prudence; but the man who keeps half a mile away from the edge of a cliff will never fall from it. One who has studied the share market carefully has eventually found that if he is able to pay one half the market price of his holdings, he need have little fear as to the other half; that is, on judicious selections of properties.

No mention is made here of shares that sell in December at 72 and in March at 30. Whoever buys such goods should